Strategic Allocations for the RIO-Map™

Strategic allocations for the RIO-Map is a broad and important process of using the RIO scores to identify where further attention is needed to improve your retirement plan. The issues we will investigate were described earlier when discussing the different components of the RIO-Map, and this will not be reviewed again in detail here. Briefly, though, we further analyze the role for different tools and tactics in your RIO-Map for assets (reliable income, diversified portfolio, reserves) and for retirement income funding.

Though not all tactics will be relevant for each retiree, the possibilities for reliable income consist of Social Security, annuities, pensions and employer benefits, bond ladders, continued employment, and a reverse mortgage. The diversified portfolio is covered with the early portfolio structure and implementation steps and will again be revisited at the end of the process with the Retirement CARE Analysis. As for reserves, we review cash and excess financial assets, insurance, housing and aging in place, family assistance and obligations, your health outlook, a team of financial planning professionals, and estate planning basics. Then we revisit the steps of retirement income funding. We assess these tools and tactics in a complementary manner to look for potential efficiencies and improvements within your plan. We also evaluate and address gaps within your RIO-Map as identified with the funded ratio analysis.

The 180-Day Progress Plan

We want to be as efficient as possible in order to hit the ground quickly and get some wins under your belt. Working through the entire process will take time. To prevent procrastination and also to prevent a sense of being overwhelmed, we will provide a series of steps to accomplish in the first 180 days. This helps you address the more salient items on your journey. Exhibit 8.5 provides an example of how this may look.

Exhibit 8.5
The 180-Day Progress Plan